Utility & Wastewater Diligence Checklist

Utility systems are where RV park and MHC deals most often hide five- and six-figure surprises. A system that appears functional can still carry permit, capacity, maintenance, or deferred-capex exposure. Use this checklist alongside the Evidence-Request List. And bring in a qualified engineer or utility specialist whenever anything here is unresolved.

Property:	Sites / hookups:	Utility reviewer:	Review date:

Capacity-risk frame: the core question is not "does it work today?" but "is it legal, is it sized for full occupancy and any expansion in the underwriting, and what breaks in the next five years?" Every section ends in one of three dispositions: **Documented**, **Evidence requested**, or **Specialist review required**.

1. Water

SOURCE & LEGAL RIGHT

- ☐ Source identified: public supply, well(s), spring, or other
- ☐ Public: provider letter confirming service, meter size, and capacity
- ☐ Well: permits, driller logs, and water-right documentation
- ☐ Public water system classification (community / non-community) and regulator

QUALITY & CAPACITY

- ☐ Potability / bacteriological test results, recent
- ☐ Well flow test vs. full-occupancy demand estimate
- ☐ Storage, pressure, and booster equipment condition
- ☐ Consumer Confidence Reports / sampling history (if regulated)

DISTRIBUTION

- ☐ Line material, age, and known leak / repair history
- ☐ Metering: master vs. individual; meter condition and reading practice
- ☐ Unaccounted-for water estimate (billed vs. supplied)

2. Wastewater

SYSTEM TYPE & PERMITS

- ☐ Type confirmed: public sewer, septic, lagoon, package plant, or mix
- ☐ Public sewer: service agreement, capacity allocation, tap fees, moratorium status
- ☐ Septic: permits, design capacity, as-builts, per-site or clustered layout
- ☐ Lagoon / package plant: discharge permit (NPDES or state equivalent), design capacity, operator requirements
- ☐ Permitted capacity vs. current occupancy vs. underwritten occupancy

COMPLIANCE & CONDITION

- ☐ Discharge monitoring reports, 2-3 years (if
- ☐ Violations, consent orders, or enforcement correspondence
- ☐ Septic: pump-out and inspection history; failure or surfacing history
- ☐ Lift stations: count, age, alarm/backup power, maintenance records
- ☐ Collection lines: material, age, root / infiltration history, recent camera work

Red flags: slow down and bring in a specialist. Occupancy above permitted capacity · missing discharge reports · any consent order · septic systems with no as-builts · recurring "we just pump it when it backs up" answers · expansion underwriting that assumes capacity nobody has confirmed in writing.

3. Electric

- ☐ Provider, service size, and rate schedule documented
- ☐ Pedestals / hookups per site: amperage, condition, and code status
- ☐ Master-metered vs. direct-billed; submetering legality in the state
- ☐ Known capacity constraints at peak (summer AC load for RV)
- ☐ 12 months of bills; demand charges identified

4. Gas, propane & other utilities

- ☐ Natural gas service or propane arrangement documented
- ☐ Propane: tank ownership (park vs. vendor vs. tenant) and supply contract
- ☐ Trash service: provider, frequency, cost, contract term
- ☐ Cable / internet provider and any bulk agreement or revenue share

5. Stormwater, roads & site

- ☐

- [ ] Flood zone status relative to sites and utility infrastructure
- [ ] Road ownership (public vs. private) and maintenance obligation
- [ ] Road condition assessment and repaving cost exposure

6. Expense & reimbursement truth

- [ ] Full 12-month utility expense build-up, by utility
- [ ] RUBS / pass-through / bill-back method documented and legally reviewed
- [ ] Reimbursement collections vs. billings (is the income actually collected?)
- [ ] Common-area utility load identified and not quietly shifted to tenants
- [ ] Underwriting utility expense tied to bills, not to OM percentages

7. Forward capex & disposition

- [ ] Five-year utility capex estimate: lines, pedestals, lift stations, treatment
- [ ] Expansion feasibility memo: what added sites would require, in writing
- [ ] Each system dispositioned: Documented / Evidence requested / Specialist review required
- [ ] Unresolved items priced into offer terms (escrow, holdback, price, or walk)

> **Rule of thumb:** if the seller cannot produce permits, bills, or compliance records for a system that serves paying residents, treat the system as unproven, not as fine. Price the unknown or require it resolved before close.

This checklist is an organizational tool, not professional advice. Utility, engineering, environmental, legal, insurance, tax, and lending decisions belong with qualified professionals. For private water and wastewater systems, that usually means a licensed engineer or utility specialist on site. © CrosstownOS, shared with Field Network members; please do not redistribute without permission.